

mid-1980s, overreliance on oil revenue contributed to a period of slow economic growth. Sensibly, Norway decided to diversify.

Norway's "Government Petroleum Fund" was set up in 1990 to channel some of the oil revenue into a long-term savings mechanism. The fund served two purposes: (i) it diversified oil wealth into a broader portfolio of international securities, improving Norway's risk–return trade-off, and (ii) it inoculated Norway from the Dutch disease by quarantining wealth overseas, only gradually letting the oil money trickle into the economy. In January 2006, the fund was renamed "The Norwegian Government Pension—Global," although it had no explicit pension liabilities. The new title conveyed the fund's goal of managing its capital to meet long-term government obligations and to benefit future generations.

At first the fund was invested only in government bonds. In 1998 the investment universe was enlarged to allow a 40% allocation to equities, and that was raised to 60% in 2007. In 2010 the fund was permitted to invest up to 5% of assets in real estate, and Norway bought its first properties, in London and Paris, in 2011. While the asset universe of the fund had gradually broadened, since the fund's inception the "reluctant billionaires of Norway" have always sought to meaningfully invest their fortune in line with the country's social ethos.² Norway practiced socially responsible investing (SRI). In 2005, government regulation was passed making this formal. The regulation stated that:³

- The financial wealth must be managed so as to generate a sound return in the long term, which is contingent on sustainable development in the economic, environmental and social sense.
- The fund should not make investments that constitute an unacceptable risk that the fund may contribute to unethical acts or omissions, such as violations of human rights, gross corruption, or severe environmental damages.

The Ministry of Finance appointed an independent Council on Ethics, which issued recommendations on whether an investment constituted a violation of the fund's ethical guidelines. If there was unacceptable risk, the Council would recommend the exclusion of a company. The Council continuously monitored all companies in the fund's portfolio to uncover possible violations using publicly available information, media sources, national and international organizations, and independent experts.

In April 2005 the Council began examining alleged unethical activities by Wal-Mart. These included many reported violations of labor laws and human rights, including reports of child labor, serious violations of working hour regulations, paying wages below the legal minimum, hazardous working conditions, and unreasonable punishment. The Council found widespread gender discrimination.

² Mark Landler, "Norway Backs Its Ethics with Its Cash," *New York Times*, May 4, 2007.

³ Section 8 of the Government Pension Fund Regulation No. 123, December 2005.